BIOTECH

With lenders galore, life science companies find debt cheaper

By Abby Latour & Madeline Shi

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Facing a subdued IPO market and a tempered pace of venture investment, biotech and life sciences companies are eschewing traditional sources to fund growth, instead turning to loans.

Companies are encountering lenders flush with cash—resulting in lower spreads and more favorable loan documentation to fund commercialization of drugs and treatments, compared with what had been available to them in recent years.

Although loans to biotech, medtech and life sciences companies are highly bespoke, spreads on these loans can range from S+650 basis points, and sometimes below, while a lower-quality borrower might achieve a spread of S+800 bps, market participants say. Yields amount to the low teens for these borrowers.

"The market feels a bit barbelled," said Runway Growth Capital CIO Greg Greifeld. "Higher quality companies have access to deeper, more readily available capital, and spreads have come in. Some lenders have been willing to accept looser covenants."

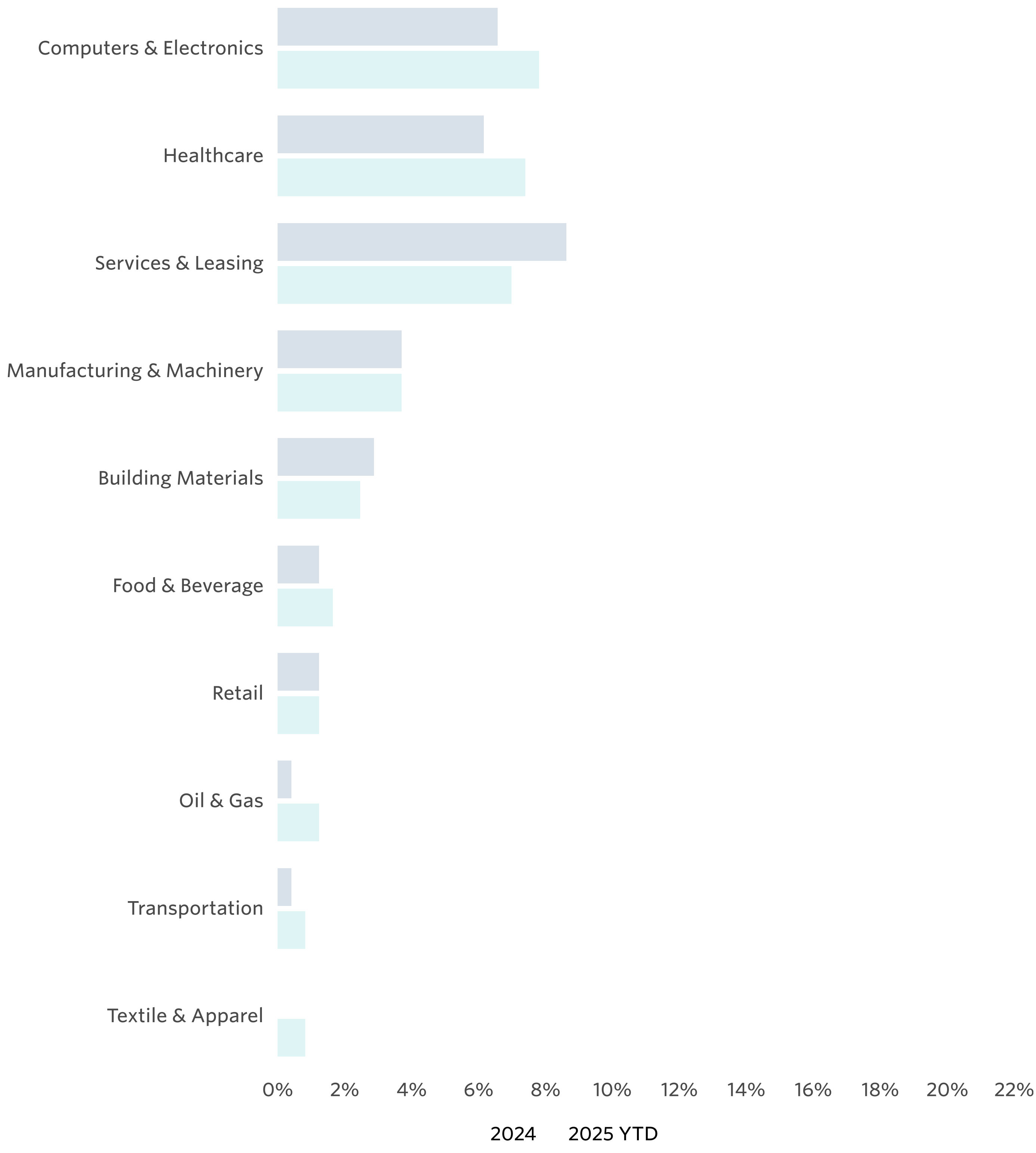
Investors like the space, which is a subset of the healthcare market, since the performance of life sciences loans typically does not move in lockstep with the traditional direct lending market. It's also more insulated from tariff risks and broader economic downturns than other sectors.

Just like in the market for LBO financing, competition for attractive biotech, medtech and life sciences deals has increased, with lenders under mounting pressure to deploy capital.

At the same time, deal flow for biotech and life sciences companies has been hurt by regulatory uncertainty under the second Trump administration. For instance, the recent funding and staff cuts at the FDA has led to longer timelines for drug approvals, market participants say.

Healthcare grows as leading sector in new debt issuance

Share of direct lending by deal count in 10 top sectors



Source: PitchBook and LCD data
As of June 30, 2025
Direct lending analysis is based on transactions covered by LCD News

An alternative remedy

Lending to biotech, medtech and life sciences companies differs from middle-market sponsor finance in terms of structures and underwriting criteria. Lenders in this market typically require in-house scientific expertise.

Specialist lenders such as RA Capital and Perceptive Advisors, along with asset managers such as Blue Owl, Blackstone, Oaktree, and Sixth Street, have been active in this area. Other lenders in the space are companies such as SLR Capital Partners, OrbiMed, and Oxford Finance.

Since many borrowers have yet to generate positive EBITDA, lenders secure their loans against collateral such as inventories, cash, intangible assets like patents, and in some cases, even personal assets. Lenders that are willing to provide financing to this swath of companies based on the success of a certain product or treatment are often making a bet on the viability of the entirety of the company's pipeline, in case a product fails.

Covenants are typically limited and don't usually include leverage- or cash-flow-based terms commonly used in middle-market lending to private equity-backed companies. Instead, they usually are financial covenants emphasizing liquidity management, such as requiring borrowers to keep a minimum cash balance, or based on revenue streams.

Financing for these companies often includes a so-called synthetic royalty structure, in which lenders are promised a percentage of future sales after a product gains regulatory approval and begins commercialization. They may also include features such as upfront fees, exit fees and equity warrants.

Craving capital

Life sciences startups typically seek capital to fund the development of new drugs and devices well before they become profitable. In periods when capital was more readily available, these companies relied on investments from VC firms and crossover investors, followed by IPOs and public equity offerings.

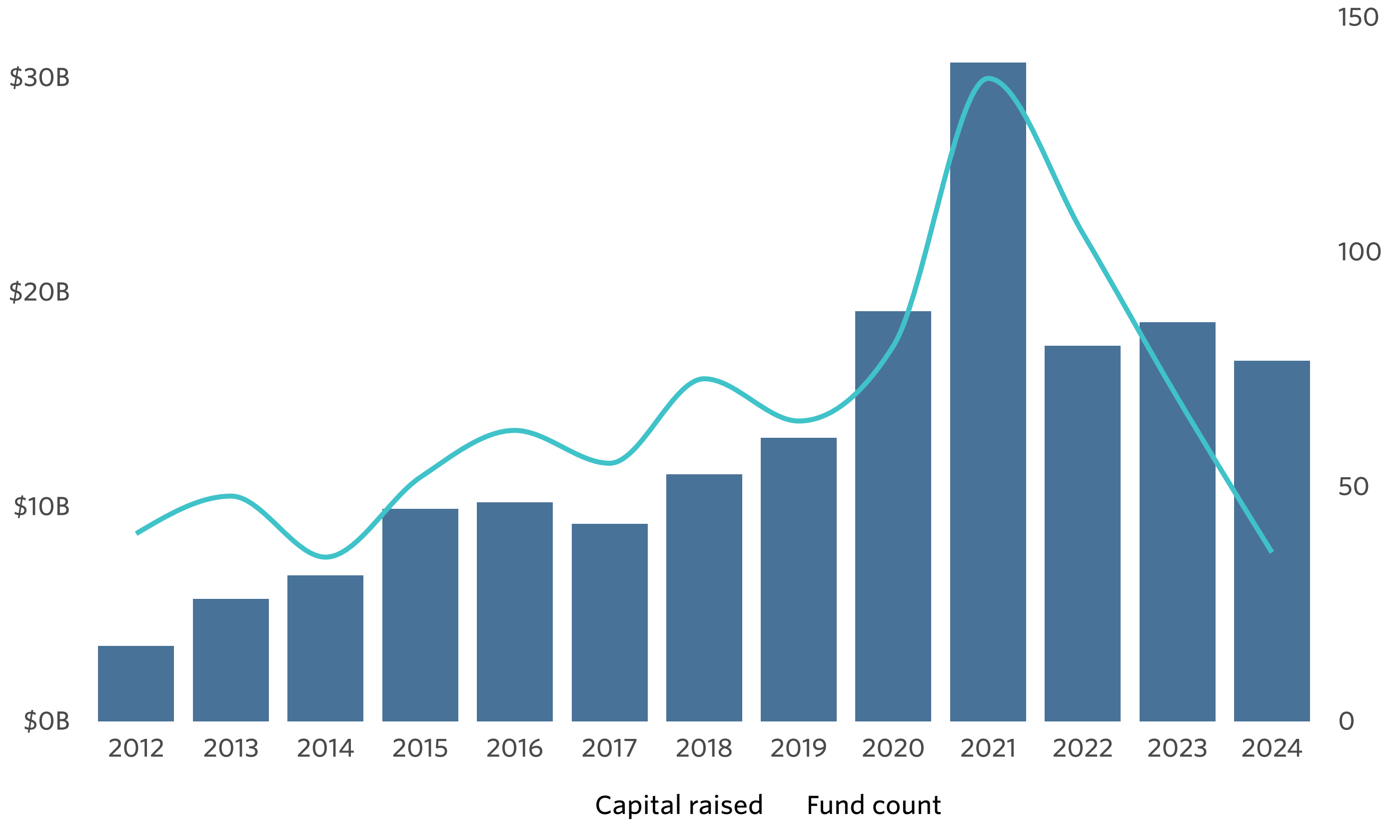
However, VC investments in this space have slowed in recent years, amid a shift in investor risk appetite and a growing preference to prioritize investments in AI, according to PitchBook associate analyst Ben Ricco.

"High-risk preclinical assets have become unattractive with this extended period of investor risk aversion," he said.

Ricco added that VC firms are increasingly concentrating on larger deals backing later-stage startups that have shown success in clinical trials, leaving many early-stage companies starved for cash.

Fundraising for life science-focused VC funds has cooled from its peak in 2021. These vehicles collectively raised only $16.8 billion last year—nearly a 50% drop from the 2021 record, according to PitchBook's H2 2024 Healthcare Funds Report. Only 36 funds were closed, marking the lowest annual tally in a decade.

Life sciences VC closes fewest funds in a decade



Source: H2 2024 Healthcare Funds Report
Geography: North America and Europe
As of Dec. 31, 2024

PitchBook

Featured image by Rafa Fernandez Torres/Getty Images

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About Abby Latour

Abby currently writes about middle-market loans and private credit for LCD. She started at LCD in 2004, writing about high-yield bonds, later turning her attention to distressed debt during the credit crisis. From 2009 to 2013, she wrote about Asia-Pacific credit markets for LCD, while based in Hong Kong. Prior to S&P Global, she was with Reuters, first as a correspondent in the Nordic region and then as a copy editor based in London.

About Madeline Shi

Senior reporter Madeline Shi writes about private equity and the debt markets for PitchBook News. Previously she has written for news outlets including Debtwire, With Intelligence (formerly Pageant Media), Business Insider and CoinDesk. Madeline earned a graduate degree from New York University's school of journalism and is a graduate of Northeast Normal University in China. She is based in Seattle.

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